

INNOVATIONS IN FINANCE

LECTURE 2 : THE FINTECH REVOLUTION: PAYMENTS, LENDING & NEOBANKS

Make an impact



INTRODUCTION



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OUR GOAL : UNDERSTAND THE FUTURE OF FINANCE

Do you trust a bank more because it has marble floors and 200 years of history, or would you trust an app with no branches but millions of users?



WHERE WE ARE GOING TODAY

One question runs through the whole session — keep it in mind

THE QUESTION

Fintech took the bank apart, function by function. Everyone is now putting it back together. So what actually changed?

1 What a bank really is

Functions, balance sheet, and why the whole thing is regulated so heavily.

2 The regulatory staircase

Four licences, four business models. Where each player stands, and why they climb.

3 Payments

Who takes a cut of your €100 — and the European counter-attack.

4 Lending

P2P, BNPL, and a regulation that lands in November 2026.

5 Neobanks

How they actually make money. And why B2B pays ten times better than B2C.

6 Cases

Klarna, Stripe, Ant — and one French company you have never heard of.





LEARNING OBJECTIVES

◆ Knowledge (know/understand):

- Understand the distinctions between banks, neobanks, and fintech players under European regulation.
- Identify the core innovations in payments and lending disrupting traditional models.

◆ Skills (be able to):

- Analyze how regulation influences fintech positioning and strategy.
- Compare business models of traditional banks and fintech startups.
- Evaluate the role of user experience and technology in fintech adoption.
- Discuss global case studies to understand real-world fintech success factors.

➔ Curiosity, creativity and critical thinking will be rewarded



WHERE LECTURE 1 LEFT US

Ninety seconds of recap — then we go straight into the machinery

ESTABLISHED LAST WEEK

- Finance has always been technological
- The rate of change is accelerating — four forces explain it
- The front-end is fast, the plumbing is slow
- Every innovation creates a new risk

THE PAIN POINTS WE MAPPED

- Onboarding measured in weeks
- Cross-border payments: 2 to 5 days
- SMEs and small investors underserved
- Opaque pricing, legacy systems

We are not doing these again. Today: what was built instead.

TODAY'S THREAD

2010 → 2020

Unbundling

Attack the bank one function at a time. Payments here, FX there, the card somewhere else. Each fintech does one thing, and does it far better.

2020 → 2026

Rebundling

Once you own the customer, add everything back. Revolut sells insurance and phone plans. Klarna holds a banking licence. Stripe lends.

THE QUESTION

So what changed?

If the end state looks like a bank again, was any of this a revolution — or just a change of ownership? Answer at the end of the session.





WHAT IS A BANK?



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CORE BANKING FUNCTIONS

- ◆ **Intermediation:** Collect deposits, issue loans
- ◆ **Maturity transformation:** Short-term deposits fund long-term loans
- ◆ **Credit risk transformation:** Pooling and pricing of borrower risk
- ◆ **Payment services:** Enable transactions and settlements
- ◆ **Investment product distribution:** Manage investment products and sell these to final client who needs to invest

HOW A BANK MAKES MONEY ?

Simplified Balance Sheet (in million €)

Assets		Liabilities & Equity	
Customer Loans	€800 M	Customer Deposits	€900 M
Cash & Reserves	€150 M	Borrowings	€30 M
Government Bonds	€50 M	Equity (Capital)	€70 M
Total Assets	€1,000 M	Total Liabilities & Equity	€1,000 M

- ◆ **Customer Loans:** The bank lends money to individuals and businesses. This is its main revenue source via interest income.
- ◆ **Deposits: The cheapest funding source.** Banks pay a lower rate on deposits and lend at a higher rate (net interest margin).
- ◆ **Government Bonds:** Safe investments that provide stable income and liquidity.
- ◆ **Reserves:** Cash or central bank reserves required for liquidity and regulatory purposes.
- ◆ **Borrowings:** Sometimes banks borrow from other banks or the central bank.
- ◆ **Equity:** The bank's own capital, required by regulators to absorb losses (Basel III rules).

◆ How a Bank Makes Money ? :

- **Interest Income** from loans > **Interest Expense** on deposits = **Net Interest Margin**
- Fees on services (payments, account management, advice)
- Trading or investment income

FROM DEPOSIT TO HOME LOAN



Step 1: Customer Deposit

Anna deposits €10,000 in her savings account at the bank.

💡 **Bank's cost of funds: 1% interest**



Step 2: Bank Pools Deposits

The bank combines deposits from multiple customers to create a large lending pool.



Step 3: Home Loan Issued

The bank uses that money to give a €200,000 mortgage to Paul.



Loan interest rate: 4%



Step 4: Bank Earns the Spread

Net Interest Margin = 4% (loan) – 1% (deposit) = 3% profit



This is the bank's core business model.

♦ Risks :

- What happens if too many customers ask for their deposits back at once? Liquidity Risk
- What happens if too many loans go bad? Credit Risk

♦ A bank is a risk taker : One of its core function is to manage this risk



WHY BANKS ARE REGULATED ?

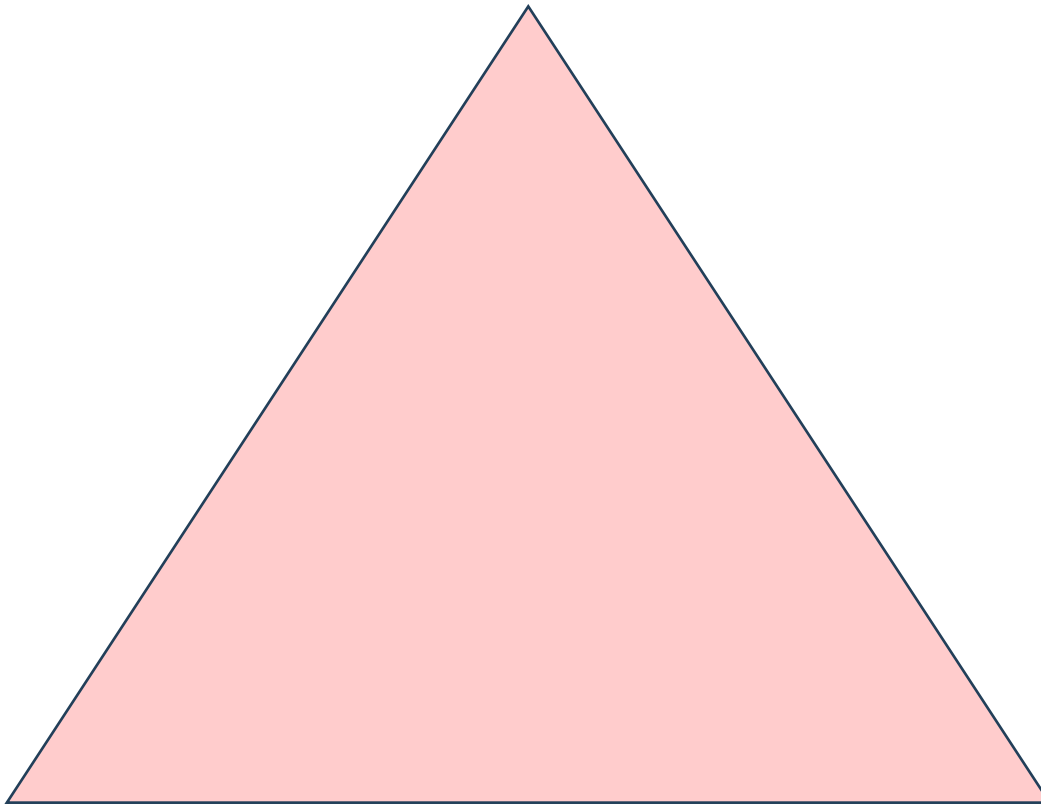
- ◆ Banks create systemic risk:
 - Failure = broad contagion
 - September 2008 : Lehman Brothers
 - March 2023 : Silicon Valley Bank (and Silvergate Bank and Signature Bank)

- ◆ Regulation protects depositors & ensures solvency
 - Protect depositors
 - Prevent systemic risks
 - Harmonise standards
 - Enhance resilience and transparency

- ◆ Key regulators:
 - European Central Bank (Single Supervisory Mechanism)
 - European Banking Authority
 - National authorities : AMF and ACPR in France

- ◆ Basel III sets global risk & capital requirements

BASEL III: RISK CONTROL FOR BANKS



- ◆ **Pillar 3 : Market Discipline**
 - Banks must **publicly disclose** their risk profile and capital adequacy.
 - Improves **market discipline** by empowering investors and stakeholders.

- ◆ **Pillar 2 : Supervisory Review**
 - Regulators assess each bank's internal risk processes.
 - Ensures banks hold capital commensurate to their unique risk profile.
 - Includes stress testing and risk governance reviews

◆ **Pillar 1 : Minimum Capital Requirements**

Ratio	Meaning	Minimum Required
CET1 (Common Equity Tier 1)	Strongest capital (e.g., shareholders' equity)	4.5% of risk-weighted assets
Tier 1 Capital Ratio	CET1 + some other instruments	6.0%
Total Capital Ratio	Tier 1 + Tier 2 capital	8.0%

- ◆ **Pillar 1 ensures that :**
 - Banks always keep a **minimum amount of capital**.
 - This capital is **proportional to the risk** they take.
 - It helps banks stay solvent and protects depositors during crises.



THE REGULATORY LANDSCAPE



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THE REGULATORY STAIRCASE

Four licences. Each one buys you more freedom and costs you more to hold.

Agent / distributor

Sell someone else's regulated product under their licence.

Cannot hold client money.
Fast to start, no capital.

Most early-stage fintechs, brokers, affiliates

E-money institution

Issue electronic money, hold client funds, provide payment services.

No lending. Client funds are safeguarded, not insured. Capital: €350k.

Wise · early Revolut · early PayPal

Payment institution

Execute payments, acquire transactions, initiate transfers.

No e-money issuance, no deposits.
Capital: €20k – €125k.

Stripe (as PSP) · Voxpay · most acquirers

Credit institution

Take insured deposits, lend, access the central bank.

Full Basel III regime and supervision.
Capital: €5m minimum, and far more in practice.

BNP · Qonto · N26 · Klarna · Revolut (UK, 2024)

Every company on this slide started on a lower step.

The strategic question is never whether to climb. It is when — and what you give up in speed when you do.



CENTRAL BANK ACCESS AND CUSTOMER SAFEGUARDS

- ◆ Credit institutions have direct access to central bank facilities and deposit insurance
- ◆ Payment & e-money institutions often rely on safeguarding client funds
- ◆ CIFs must comply with conduct rules but don't hold funds
- ◆ Non-regulated startups lack formal consumer protections, increasing risk
- ◆ Regulations ensure transparency, anti-money laundering (AML), and dispute resolution



DISRUPTIVE MODELS



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EXERCISE: FOLLOW THE MONEY

Five minutes, in pairs — do not open a browser, reason it out

**A customer pays €100 by card
in a French shop.**

The merchant receives €98.20.

Where did the other €1.80 go?

YOUR TASK

- Name every actor that takes a cut
- Estimate how much each one takes
- Say what each one is being paid for

5 minutes. Pairs. No phones.

THREE HINTS, BECAUSE THIS IS HARDER THAN IT LOOKS

There are four of them.

Not two. Most people find two.

One is capped by EU law.

A regulation from 2015 decided what it may charge.

One you have never heard of.

And it is not the bank.

Then the real question, which we will answer together: why would a merchant ever volunteer to pay three times this much?





FOLLOW THE MONEY: THE ANSWER

Four actors, one capped by regulation, one nobody in the room named

€100.00	Customer pays	The price on the tag.
- €0.30	Issuing bank <i>issuer</i>	The customer's bank. Takes the interchange fee. Capped at 0.3% for credit and 0.2% for debit since the EU Interchange Fee Regulation of 2015 — before that it was several times higher.
- €0.15	Card scheme <i>scheme</i>	Visa or Mastercard. They own the rails and set the rules. They are not banks and they never touch the money.
- €1.35	Acquirer / PSP <i>acquirer</i>	The merchant's side: acceptance, fraud, settlement, the terminal or the API. This is where Stripe, Adyen, Worldline and Voxpay live — and where the margin is competitive.
€98.20	Merchant receives	Roughly 1.8% gone. On a supermarket's margin, that is not a rounding error.

Now the same €100 through Klarna: the merchant keeps about €96.

Klarna's average merchant take rate was 2.7% in 2024, and up to 5.99% on some tiers. Three times the card. So why do merchants sign up?

Illustrative European figures for a consumer card. Actual merchant service charges vary widely by size, sector and card type; commercial cards are exempt from the caps.



MOBILE WALLETS: BANKING WITHOUT BANKS

- ◆ Apple Pay & Google Pay allow users to pay, store cards, and manage transactions—without traditional bank interfaces
- ◆ Use tokenization for security—no card details shared at checkout
- ◆ Seamless integration with devices: biometrics, NFC, wearable compatibility
- ◆ Expand financial inclusion in regions with high smartphone use but low bank penetration
- ◆ Challenge to banks: disintermediation from daily financial habits



- **No physical card necessary:** store cards in digital wallet
- **Contactless payments** at point of sale terminals
- **Low-cost transfers between users** ('peer-to-peer')





INSTANT PAYMENTS — AND EUROPE'S COUNTER-ATTACK

The rails changed underneath everyone, and almost nobody noticed

THE INSTANT PAYMENTS REGULATION

- 9 Jan 2025** Every euro-area payment provider must be able to RECEIVE an instant transfer. Ten seconds, 24/7, 365 days.
- 9 Oct 2025** They must also SEND them — and run Verification of Payee, checking the name matches the account before the money moves.
- Price rule** An instant transfer may not cost more than a standard one. That single line is what makes it real.

WERO — THE BANKS STRIKE BACK

- Sixteen European banks and payment providers, including BNP Paribas, built a wallet to compete with Visa, Mastercard and Apple Pay.
- Live for person-to-person in France, Belgium and Germany. Around 52 million users, over 100 million transactions. E-commerce launched in Germany in late 2025 and rolls out across France through 2026 — during this semester.

WHY THIS MATTERS MORE THAN IT SOUNDS

Sovereignty

Two American companies sit in the middle of most card payments made in Europe.

Economics

A bank transfer bypasses interchange entirely. Go back two slides: who loses the €0.30?

Speed as a commodity

When instant is free and universal, 'we are faster' stops being a fintech advantage.

A regulator made instant payments compulsory and free. That is not a fintech innovation — and it may hurt fintechs more than banks.



RETHINKING CREDIT: P2P & BUY NOW PAY LATER

- ◆ BNPL lets users split payments into installments—often interest-free
- ◆ Klarna partners directly with merchants, bypassing credit cards
- ◆ Fast credit decisioning with minimal friction at checkout
- ◆ Appeals to Gen Z and Millennials wary of traditional debt
- ◆ Regulatory challenges: over-indebtedness, transparency, consumer protection





DEBATE: IS BNPL CREDIT OR A TRAP?

Eight minutes. You will be assigned a side — including the one you disagree with.

The clock is real: from 20 November 2026, EU law treats BNPL as consumer credit. Creditworthiness checks become mandatory.

SIDE A — IT IS A GENUINE IMPROVEMENT

- Free for the consumer who pays on time. The merchant pays, not you.
- Compare it to the alternative: a revolving credit card at 15–20% APR.
- It gives credit to thin-file customers banks reject outright.
- Fixed, short, visible instalments — not an open-ended balance that rolls.
- Merchants pay 3–6% voluntarily, which means it creates real value for them.

SIDE B — IT IS DEBT THAT DOES NOT FEEL LIKE DEBT

- The word "credit" never appears at checkout. That is a design decision.
- Historically no affordability check — which is why CCD2 now forces one.
- 16% of Klarna's transaction revenue comes from consumer fees, largely late fees.
- Invisible to credit bureaus: a customer can stack debt across five providers.
- It raises basket size. That is the product working — on the customer.

4 min

prepare with your side

4 min

two exchanges each, no speeches

Then

who changed their mind, and on what?



EMBEDDED FINANCE: BANKING WHERE YOU DON'T EXPECT IT

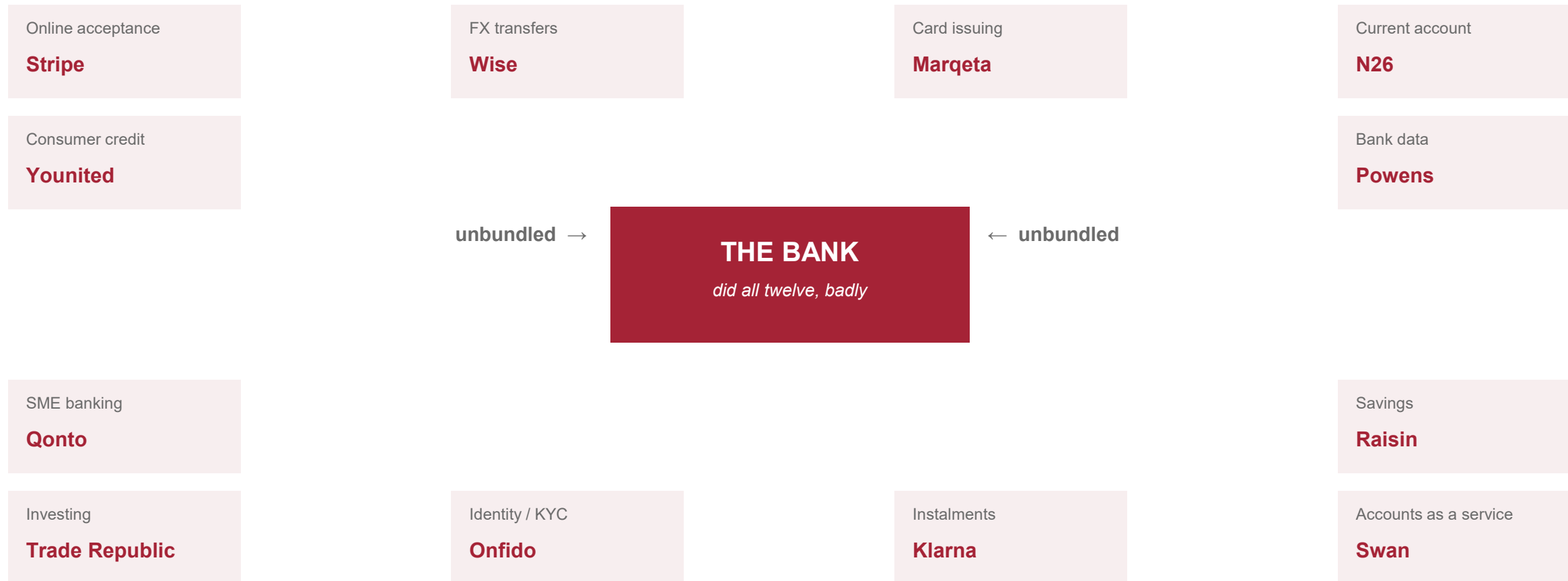
- ◆ **Definition:** Integration of financial services (lending, payments, insurance) into non-financial platforms
- ◆ Shopify Capital: Offers working capital loans to merchants based on sales data—no bank needed
- ◆ Amazon Lending: Provides credit to high-performing sellers directly through its platform
- ◆ Enables data-driven underwriting and instant access to capital
- ◆ Blurs the line between tech companies and financial institutions





2010 – 2020: TAKING THE BANK APART

One company per function, each one better at it than the bank was



None of these set out to build a bank. Each picked one function the bank was bad at, and did only that.





2020 – 2026: PUTTING IT BACK TOGETHER

Every one of them is now building the thing they were founded to replace

Revolut

started as a travel card, 2015

Account · card · FX · stock trading ·
crypto · commodities · insurance ·
loans · business accounts · mobile
phone plans · hotel booking

UK banking licence granted 2024

Klarna

started as pay-later at checkout, 2005

BNPL · a shopping app with its own
search · a debit card · a savings
account · advertising sold to merchants

Holds a full European banking
licence

Qonto

*started as a business current account,
2016*

Account · cards · invoicing · expense
management · bookkeeping · financing
· integration with accounting software

Became a credit institution

Stripe

started as seven lines of code, 2010

Payments · company incorporation ·
lending to merchants · card issuing ·
treasury accounts · tax · fraud · billing

Owns more of the chain every year

Twenty years, and everybody rebuilt a bank. So — what actually changed?





THE DNA OF A FINTECH STARTUP



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FINTECH CULTURE: FAST, FOCUSED, AND USER-CENTRIC

◆ **Agile methodology:**

- Quick iterations, constant feedback

◆ **MVP approach:**

- Build fast → test → improve

◆ **Product-first mindset:**

- UX/UI and customer pain points drive design

◆ **Cross-functional teams:**

- engineers, designers, product managers

◆ **Strong customer focus** → faster adaptation to market needs



FINTECH VS BANK: THE STRUCTURAL TRADE-OFF

Neither is winning. They are optimised for different things.

	TRADITIONAL BANK	NEOBANK	
Customers per employee	≈190 · a large European retail bank	≈5,000 · Revolut, 2024	Not virtue — no branches, no paper, no legacy migration.
Time to ship a feature	Quarters, sometimes years	Weeks	Change-control on a system that clears payments is not bureaucracy for its own sake.
Revenue per customer	€400–600 retail	\$76 · Revolut	The bank wins this one, decisively, and nobody says so.
Cost of funding	Insured deposits, close to free	Partner bank, or the capital markets	The single biggest structural advantage banks still hold.
What happens if it fails	Deposits insured to €100,000	Depends on the licence — often nothing	This is what the staircase actually buys.
Orders of magnitude from public reporting, not audited comparisons — the two sides do not define "customer" the same way.			





TECHNOLOGY & UX

KEY DIFFERENTIATOR



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MOBILE-FIRST, API-POWERED, REAL-TIME

- ◆ **Mobile UX:** Fast, intuitive, personalized experience
 - ◆ **Real-time payments:** Instant transfers
 - ◆ **Open APIs:** Seamless integration across services (banking, lending, KYC)
 - ◆ **API-first strategies:** Stripe simplified payments for developers
-
- ◆ **Tech is not a support tool — it's core to the customer experience**

ONBOARDING & UX: WINNING CUSTOMERS IN SECONDS

- ◆ **First impressions matter: account setup in <5 minutes**
- ◆ **Legacy banks:** Complex menus, outdated visuals, slow KYC
- ◆ **Fintech approach:** Clean UI, transparency, push notifications
- ◆ Case study: Revolut vs. Société Générale onboarding

Revolut

Full account in under 10 min



Manual forms, long wait, branch validation

- ◆ **UX = competitive edge → drives acquisition & retention**



NEOBANKS

WHERE THE MONEY ACTUALLY COMES FROM



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HOW A NEOBANK ACTUALLY MAKES MONEY

Four revenue lines — and one of them was capped by the regulation we saw earlier

Interchange

A slice of every card payment the customer makes.

Capped at 0.2–0.3% in the EU. A volume game, and the ceiling is legal, not competitive. This is why no European neobank can live on cards alone.

Subscriptions

Paid tiers: Plus, Premium, Metal.

The line that turned Revolut profitable. Predictable, high margin, and it costs almost nothing to serve the next subscriber.

FX margin

A spread on currency conversion.

The original Revolut product. Still profitable, but increasingly commoditised — everyone offers it now.

Interest on balances

Lending out, or simply parking, customer deposits.

Dormant when rates were at zero. Transformed by the rate rise: Revolut held \$38bn of customer balances at end-2024.

Notice what is missing: the interest spread on lending — the thing that defines a bank. That is the last step of the staircase.





THE NUMBER NOBODY PUTS ON A PITCH DECK

Revenue per customer, per year — 2024 figures

Revolut

52.5m customers

\$4.0bn revenue

≈ \$76

N26

≈4.8m revenue-relevant

≈€440m revenue

≈ €92

A French retail bank

order of magnitude

—

≈ €400–600

Qonto

≈600k customers — all businesses

€449m revenue

≈ €748

Qonto has about 1% of Revolut's customers and earns roughly 11% of its revenue.

A business customer pays around ten times more than a consumer, churns far less, and does not need to be won back every year. So why is every fintech pitch you will ever see aimed at consumers?

Company reported figures, 2024. Revenue per customer computed from published revenue and customer counts — definitions of "customer" differ between companies, so treat as orders of magnitude.





GLOBAL CASE STUDIES



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KLARNA: THE MOST INSTRUCTIVE VALUATION CHART IN FINTECH

Founded 2005 in Stockholm. Twenty years, and three different companies.

2021

\$45.6bn

Peak private valuation. Europe's most valuable private tech company.

2022

\$6.7bn

An 85% cut in twelve months. Rates rose, growth stopped being free.

SEPT 2025

\$15.1bn

IPO on the NYSE at \$40 a share. Closed the first day at \$45.82.

WHERE THE REVENUE COMES FROM

75%	Merchants	Average take rate 2.7% on \$105bn of volume in 2024.
16%	Consumers	Largely reminder and late fees. Remember this during the debate.
8%	Advertising	Merchants paying for placement in Klarna's own shopping app.

WHAT KLARNA ACTUALLY BECAME

It started as a way to pay later at checkout. It now holds a European banking licence, runs a shopping app with its own product search, issues a debit card, offers savings accounts, and sells advertising.

The advertising line is the tell. Klarna is becoming a retail media business that happens to lend — which is a different company from the one it IPO'd as.

The lesson is not the crash. It is that the same company was worth \$45bn and \$6.7bn while doing exactly the same thing.



STRIPE: THE INTERNET'S PAYMENT INFRASTRUCTURE

- ◆ Developer-first payments API launched in 2010
- ◆ B2B focus: e-commerce, SaaS, marketplaces (e.g., Shopify, Amazon)
- ◆ Regulatory model: licensed as a PSP (Payment Service Provider)
- ◆ Scalable: Used by startups and tech giants alike
- ◆ Revenue from transaction fees, enterprise packages, and embedded services
- ◆ Strength: APIs + onboarding + security + scale





NOW THE PART NOBODY TEACHES YOU

Everything so far has been consumer fintech. This is where the money actually is.

13.6

DAYS

average payment delay of French companies, Q4 2024 — up from 12.6 a year earlier

€15bn

OF CASH

that French SMEs would have had in 2024 if payment delays simply disappeared

60

DAYS MAX

legal payment terms in France — or 45 days end of month. Routinely exceeded.

€274k

PER DAY

of cash tied up for every single day of DSO, at a company with €100m of revenue

WHY A CFO LOSES SLEEP OVER THIS

An unpaid invoice is a loan your company made to its customer, at zero interest, without deciding to.

It does not appear in profit. It appears in cash — and companies do not fail because they are unprofitable. They fail because they run out of cash.

AND ALMOST NOBODY IS BUILDING FOR IT

Count the fintech apps you know that serve consumers. Now count the ones that help a finance team collect an invoice.

Same industry. One is crowded and starved of margin. The other is where the corporate finance jobs are — and it is your track.

Sources: Observatoire des délais de paiement 2024 (Banque de France, published July 2025); legal terms under the loi LME. Last figure is arithmetic: €100m ÷ 365.





YOUR TURN: A COMPANY YOU HAVE NEVER HEARD OF

Four minutes. You cannot google your way out of this one.

EVERYTHING YOU GET

- French company, founded in 2017 by two VoIP telecoms engineers.
- It lets a call-centre agent take a card payment during a phone call — without ever seeing, hearing or recording the card number.
- Also works over SMS, chat, email and QR code. One interface, any channel.
- PCI-DSS Level 1 certified.
- Clients include Club Med, Orange, Bouygues Telecom and Crédit Mutuel.

RUN THE FRAMEWORK

- 1 What is the pain point?
- 2 Who is the user?
- 3 What is the solution?
- 4 What technology carries it?
- 5 What is the regulatory position?
- 6 What changed, and at what speed?

TWO WARNINGS

Question 1 is where you will go wrong. The pain point is not "paying by phone is annoying". Think about who is exposed, and to what.

Question 5 is not an afterthought here. For this company, the regulation is not a constraint — it is the reason the company exists.





VOXPAY: THE OPPOSITE OF STRIPE

Same industry, same problem, and almost every strategic choice reversed

STRIPE, 2010

VOXPAY, 2017

The pain point

Accepting a card online is too hard for a developer.

A company must not hold card data — but its agents take payments by phone.

Who is the user

Any developer, anywhere.

Large French organisations with call centres and remote sales.

Where the payment happens

On a checkout page.

Everywhere there is no checkout page: a call, an SMS, a chat, an email.

Strategy

Horizontal and global. Win by scale.

Vertical and national. Win by depth in one hard channel.

What triggered it

Technology — an API where there had been none.

Regulation — PCI-DSS made the status quo untenable.

Under PSD2, strong customer authentication is compulsory for most electronic payments — but phone and mail orders are out of scope. A regulatory blind spot is a market.





ASSEMBLING, NOT INVENTING: KOWIKAN × VOXPAY

Full disclosure — Kowikan is my company, and Voxpay is our partner. I am not neutral.

1

The invoice goes unpaid

A French corporate is owed money. Terms were 60 days. It is day 74.

2

Someone picks up the phone

A credit controller calls. Historically the call ends with a promise: "I'll send the transfer this week."

3

The payment happens during the call

With Voxpay, the agent takes the payment on the spot — securely, no card number spoken, no data held.

4

Kowikan turns it into treasury

Which invoices to chase, in what order, and what it does to the cash forecast. The collection call becomes a treasury decision.

THIS IS LECTURE 1, IN PRACTICE

Kowikan did not build a payment system. It plugged a specialist in. Two companies, neither of which could ship this alone. That is what "finance became modular" actually looks like from the inside.

WHAT WE DO NOT KNOW YET

[TO COMPLETE — the honest part: what has been harder than expected, what clients push back on, what you would build differently. Do not skip this box.]

EARLY INDICATORS

[TO COMPLETE — DSO before / after · collection rate on the call vs the promise · average ticket · number of corporates live]



ANT GROUP: BEYOND PAYMENTS, INTO ECOSYSTEMS

- ◆ Originated as Alipay (2004), and later part of Alibaba ecosystem (until 2021)
- ◆ Offers payments, lending, insurance, wealth management, credit scoring
- ◆ Used AI underwriting and data from Alibaba/Alipay behavior
- ◆ Tech stack allows instant decisions for SME loans, micro-investments
- ◆ IPO blocked by Chinese regulators in 2020 — risk of systemic impact : (USD 34,5 billions of raise potential)
- ◆ Regulated as a tech company, in April 2021, Ant Group applied to become a financial holding company under the direction of the Peoples' Bank of China.



largest mobile and
online payments
platform



Yu'e Bao, formerly
the world's largest
money-market fund



BUILD IT: YOUR NEOBANK FOR EDHEC STUDENTS

Ten minutes in groups of four. Three decisions, and they constrain each other.

1

Pick your step on the staircase

Agent, e-money institution, payment institution or credit institution. This decides what you are legally allowed to sell — so decide it first, not last.

2

Pick your main revenue line

Interchange, subscription, FX, interest on balances, or something else. One primary line. "All of them" is not an answer.

3

Pick the first product

One. The thing you launch with. Remember unbundling: nobody won by launching twelve features.

YOU WILL BE CHALLENGED ON

- Does your licence actually permit your revenue line?
- What is your revenue per customer — and be honest, students are the worst-paying segment in retail banking
- Who already does this, and why would anyone switch?
- What happens to you when the ECB cuts rates?

HOW IT RUNS

6 min

decide, as a group

3 min

three groups pitch, 60 seconds each

1 min

the room picks the one it would use





WRAP-UP



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WHAT TO TAKE OUT OF TODAY

And the answer to the question I left open at the start

The question was: if everybody rebuilds a bank, what actually changed?

Not the functions — those are the same twelve. What changed is who owns the customer relationship, and where the money is made.

1

A licence is a business model, not paperwork.

Your step on the regulatory staircase decides what you can sell. Not your app, not your brand.

2

Somebody takes a cut of every payment, and you had never counted them.

Four actors on a card transaction. One capped by regulation, one you could not name — and that one is where the value is.

3

Business customers pay about ten times more than consumers.

Qonto: 1% of Revolut's customers, 11% of its revenue. Every pitch you will make is B2C. Ask yourself why.

4

Regulation creates markets as often as it closes them.

The interchange cap moved billions. PSD2 built open banking. A PSD2 exemption built Voxpay. CCD2 will reshape BNPL in November 2026.

5

Innovation is now assembly.

KowiKan did not build a payment engine. Almost nobody builds the whole thing any more — and that is why it moves so fast.

Before next week: pick one company from today and find out which licence it holds. One line, with the source.





FINTECH OR BANK?

Which of the following is *not* a core function of a traditional bank?

- A. Accepting deposits
- B. Issuing insurance policies
- C. Providing loans
- D. Managing liquidity risk



FINTECH OR BANK?

What key pain point did M-Pesa solve?

- A. High credit card fees
- B. Complex investment products
- C. Financial exclusion & lack of bank access
- D. Corporate treasury inefficiencies



FINTECH OR BANK?

A fintech that holds client money but doesn't lend it out is most likely regulated as a:

- A. Credit institution
- B. Investment fund
- C. E-money institution
- D. Non-regulated startup



FINTECH OR BANK?

A neobank holds an e-money licence. It has 2 million customers who each spend €500 a month on its card, and it holds €400m of their balances. It wants to launch a consumer loan. What is the actual obstacle?

- A.** It has no data on which to base a credit decision.
- B.** An e-money institution may not lend — it needs a different licence, and its client funds are safeguarded, not available to lend.
- C.** Interchange caps make the economics impossible.
- D.** Nothing — with €400m of balances it can simply lend them out.



FINTECH OR BANK?

Stripe's success is largely attributed to its:

- A. Banking license and deposit rates
- B. Developer-first API approach
- C. High-yield savings accounts
- D. Mobile retail interface



Make an impact

